

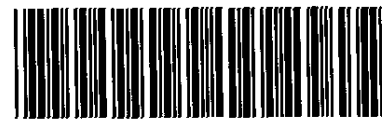
Axxsys Limited

Annual report and financial statements

Registered number 04967647

31 March 2024

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Company Information

Directors	JC Paton N Fienberg S McNulty GA Cook
Company number	04967647
Registered office	60 Gresham Street London EC2V 7BB United Kingdom
Banker	Lloyds Bank plc 25 Gresham Street London EC2V 7HN United Kingdom

Strategic report

Business review

For the year ended 31 March 2024 (FY 24¹), the Company recorded revenue of £3,932,000 (FY 23: £4,099,000). Gross profit margin reduced to 36% (FY 23: 38%) and profit after tax reduced to £437,000 (FY 23: £543,000). Reduced profitability in the year is primarily driven by an easing of consultant utilisation, while day rates held flat. The consultant team size held broadly flat, with salary costs dropping modestly, due to the changes in the consultant grade mix. Trade receivables increased to £324,000 compared to £55,000 in FY 23; reflecting an increase in debtor days, however debtor collections continued to be strong. There are no concerns about the recoverability of receivables. The Directors consider the current state of affairs of the Company to be satisfactory.

During the year, no interim dividend (FY 23: £1,000,000) was made to the Company's sole shareholder, Alpha Financial Markets Consulting Group Limited. The Directors have not recommended the payment of a final dividend (FY 23: £nil).

Key performance indicators

The Directors monitor performance on a monthly basis using a range of financial and non-financial metrics. Working capital management a key indicator which is reviewed on a frequent basis to monitor cash flow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group² undertaking and compare actual performance against budget. Costs, utilisation, and fee rates are also reviewed to monitor profitability.

Principal risks and uncertainties

The principal risks and uncertainties faced by the Company are outlined below:

- **Macro** – risk that wider market, economic, commercial and financial risks can impact the Company's ability to service clients, their demand for consultancy and technology services and, therefore, the Company's own performance and financial position.
- **Geopolitical** – risk that external events and crises can bring significant uncertainty, volatility, and fragility to geopolitics and markets, which can impact both the Company's operating model, employees and ability to deliver on its strategic objectives.
- **Business strategy** – risk that the Company responds inadequately to changing market factors and/or opportunities, including technological advancements and disruptors. The success of the Company's strategy depends on anticipating changes and developing a proposition that best serves its clients.
- **Data security** – risk of cyber attacks, security breaches and data mishandling, leading to consequent risks to client data, loss of integrity or availability of core data.
- **Acquisition and integration** – risk of failure of the Company to select, complete and integrate businesses that contribute positively to the business model and growth strategy.
- **People** – risk of failure to attract, incentivise and retain the best people with the right capabilities across all propositions, levels and geographies. A failure to undertake effective succession planning for key roles could also adversely increase this risk and impact performance.
- **Quality of service** – risk of failure to maintain quality of service on client delivery engagements.
- **Competitors** – risk that a competitor or new entrant may be able to achieve success and win work from the Company's existing clients. Less mature or more specialist propositions, which the Company chooses to develop, may present less of a competitive advantage.
- **Regulatory environment** – risk that the Company does not successfully identify, address and/ or meet forthcoming regulation, or that the business model and strategy are materially impacted by legal and regulatory changes that restrict the service offering or access to key markets.

¹ FY 24 is the financial year covering the 12 months to 31 March 2024. By comparison, FY 23 is the previous financial year covering the 12 months to 31 March 2023; FY 25 is the subsequent financial year covering the 12 months to 31 March 2025.

² Group refers to the Company's ultimate parent, as at 31 March 2024, Alpha Financial Markets Consulting plc, and its subsidiaries.

Strategic report (continued)

Principal risks and uncertainties (continued)

Further information on how the Company manages and mitigates these principal risks and uncertainties, is included on pp 57-60 of the Annual Report & Accounts 2024 of the ultimate parent company, Alpha Financial Markets Consulting plc.

Future developments

Following the end of the reporting period, as disclosed in note 17, trading activity in the Company has ceased, with the operations transferred to other Group entities. This transition reflects the evolution and consolidation of the Group's market-facing propositions and is a commercial decision taken regarding the Group's strategy. No further trading through this entity is anticipated.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she consider, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequence of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under Section 414CZA of the Companies Act 2006.

The Directors remain committed to engaging with all of the Company's stakeholders and considering their interests when making any strategic decisions.

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, clients and the communities in which the Company operates. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with which Alpha works or associates in the marketplace. Engaging effectively with these stakeholders strengthens the Company's business relationships and decision making and therefore supports its long-term success.

Employees

Attracting, retaining and developing the best talent is essential to the Company's business success. The Company is committed to providing a highly rewarding workplace, and to maintaining a strong, meritocratic and inclusive culture that recognises the importance of our people and encourages open communication.

Clients

The Company's success is based on delivering a proposition that helps its clients address their challenges and capitalise on their opportunities. The Company works hard at developing and sustaining long-term client relationships, which it supports through its global team of consultants and by extending the range of services it offers and the types of projects it carries out.

Communities

Axxsys is committed to fostering the success within the communities in which it operates. As part of this engagement, the Company also considers how to maximise our corporate responsibility and the positive environmental and social impacts of its activities, and to minimise the downsides, giving a solid baseline for developing relevant action plans and targets.

Please refer to pp 34-35 of the Annual Report & Accounts 2024 of the ultimate parent company, Alpha Financial Markets Consulting plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

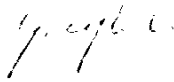
Strategic report (continued)

Key Board decisions during the year

The Directors consider the following to be the key decisions and considerations they have made in the year to 31 March 2024:

Decision	Considerations
Issued the FY 23 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
The Board undertook a scenario planning exercise to review the FY 24 forecast against prevailing market conditions.	To ensure the accuracy of forecast performance and consider potential outcomes against a range of market conditions.

By order of the Board.



Greg A Cook
Director

17 December 2024

Directors' report

The Directors present their report and the financial statements for the year ended 31 March 2024.

Principal activities

The principal activity of the Company continued to be the provision of specialist consultancy services, including Simcorp-related implementation and advisory support, to the asset management industry.

Results and dividend

The results for the year are set out in the Strategic Report on p. 2 and in the profit & loss account on p. 7. The Directors consider the current state of affairs of the Company to be satisfactory.

During the year, no interim dividend of £nil (FY 23: £1,000,000) was made to the Company's sole shareholder, Alpha Financial Markets Consulting Group Limited. The Directors have not recommended the payment of a final dividend (FY 23: £nil).

Directors

The Directors who held office during the year were as follows:

JC Paton
N Fienberg
S McNulty
GA Cook

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 23: £nil).

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

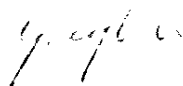
Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is included on pp 46-51 of the Group's Annual Report & Accounts 2024, which are available on the Group's website.

Auditor

For the year ending 31 March 2024, the Company was entitled to exemption from audit under s479A of the Companies Act 2006. The Directors acknowledge their responsibilities under the Companies Act 2006 regarding accounting records and the preparation of these accounts, and confirm the members of the Company have not required an audit of these accounts.

By order of the Board.



Greg A Cook

Director

60 Gresham Street
London
England
EC2V 7BB
United Kingdom

17 December 2024

Statement of Directors' responsibilities in respect of the Directors' report and the financial statements

The directors are responsible for preparing the strategic report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the parent company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Directors' Report that complies with that law and those regulations.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Profit & loss account
for the year ended 31 March 2024

	Note	Year ended 31 March 2024 £000	Year ended 31 March 2023 £000
Revenue	2	3,932	4,099
Rechargeable expenses	2	(85)	(22)
Net fee income	2	3,847	4,077
Cost of sales		(2,452)	(2,516)
Gross profit		1,395	1,561
Administration expenses	3, 4, 5	(807)	(875)
Operating profit		588	686
Finance expense	6	-	(3)
Profit before taxation		588	683
Taxation	7	(151)	(140)
Profit for the year		437	543

The Company did not make any acquisitions in the current or prior years. No discontinued operations have been presented in these financial statements.

There was no other comprehensive income in either the current or preceding year other than those disclosed in the profit & loss account, and therefore no separate statement of other comprehensive income has been presented.

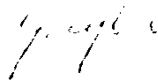
The accompanying notes form part of these financial statements.

Balance sheet
as at 31 March 2024

	Note	As at 31 March 2024 £000	As at 31 March 2023 £000
Non-current assets			
Investments	9	-	-
Property, plant and equipment	8	13	18
Right-of-use asset	10	-	17
Amounts owed by Group undertakings	11	1,348	-
Total non-current assets		1,361	35
Current assets			
Trade and other receivables	11	1,886	3,031
Cash and cash equivalents	12	329	923
Total current assets		2,215	3,954
Current liabilities			
Trade and other payables	13	(1,095)	(1,927)
Lease liabilities		-	(18)
Deferred tax liability		(4)	(4)
Total current liabilities		(1,099)	(1,949)
Net current assets		1,116	2,005
Total assets less current liabilities		2,477	2,040
Net assets		2,477	2,040
Capital and reserves			
Issued share capital	14	-	-
Retained earnings		2,477	2,040
Total shareholders' equity		2,477	2,040

For the year ending 31 March 2024, the Company was entitled to exemption from audit under s479A of the Companies Act 2006. The Directors acknowledge their responsibilities under the Companies Act 2006 regarding accounting records and the preparation of these accounts, and confirm the members of the Company have not required an audit of these accounts.

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 17 December 2024. They were signed on its behalf by:



Greg A Cook
Director

Company registered number: 04967647

Statement of changes in equity
for the year ended 31 March 2024

	Issued share capital £000	Retained earnings £000	Total shareholders' equity £000
As at 1 April 2022	-	2,497	2,497
Total comprehensive income for the period			
Profit for the year	-	543	543
Transactions with owners			
Dividends	-	(1,000)	(1,000)
As at 31 March 2023	-	2,040	2,040
Total comprehensive income for the period			
Profit for the year	-	437	437
Transactions with owners			
Dividends	-	-	-
As at 31 March 2024	-	2,477	2,477

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

General information

Axxsys Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 04967647 and the registered address is 60 Gresham Street, London, EC2V 7BB, United Kingdom.

The Directors note that although these financial statements are not prepared on a going concern basis, these financial statements were otherwise prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

Basis of preparation

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, United Kingdom or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- The requirements of paragraphs 17 and 18A of IAS 24 Related Party Disclosures; and
- The requirements in IAS 24 to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities; and
- The requirements of IFRS 7 Financial Instruments: Disclosures.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

In applying the Company's accounting policies, the Directors have not made any judgements that have a significant effect on the financial statements. There are no major sources of estimation uncertainty at the end of the reporting period that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Group's intentions with respect to the continuation of trade within the entity for that period.

As disclosed in note 17, following the end of the financial year, trading activity in the Company ceased with the operations transferred to other Group entities. This transition reflects the evolution and consolidation of the Group's market-facing propositions, is a commercial decision taken regarding the Group's strategy and is not the result of any concerns regarding the financial performance of the entity.

As a result, and in accordance with paragraph 25 of IAS 1, the Directors conclude that it is no longer appropriate to adopt the going concern basis for these financial statements, which are instead prepared on a basis that is consistent with IFRS (taking

Notes to the financial statements (continued)

1 Accounting policies (continued)

Going concern (continued)

advantage of exemptions available under FRS 101), adjusted to ensure that the assets are stated at the lower of book value and fair value less costs to sell. The Directors have assessed the impact on the financial statements as follows:

- *Property, plant & equipment*: The Directors do not consider there to be any material impact on this balance.
- *Amounts owed by/to Group undertakings*: Following the intended cessation of trading in the Company, there will be no transfer of existing intercompany balances except for on an arms-length basis, and therefore these balances are deemed to be recoverable at face value at the balance sheet date.
- *Trade and other receivables*: It is expected that the remaining financial assets of the Company will be traded through, prior to the cessation of trade, and remain recoverable in the same manner as they have been historically. Therefore, there are deemed to be no required changes to the fair value or expected credit loss attached to these balances over and above those that would apply to these balances on a going concern basis.
- *Trade and other payables*: It is expected that existing financial liabilities will be traded through prior to the cessation of trade, and therefore have a fair value that is equivalent to that which would apply on a going concern basis, as the fair value remains the same.
- *Deferred tax liability*: The Directors do not consider there to be any material impact on this balance.

Further detail on the Company's accounting policies and the basis of preparation of these financial statements can be found below:

Principal accounting policies

Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

Judgements

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the year ending 31 March 2024.

Revenue recognition

Revenue is the Company's most significant caption in the profit & loss account. Whilst the majority of the Company's revenue is contracted on a time and materials basis, the Company also has some fixed-price milestone contracts. The recognition of revenue on such contracts involves consideration of the detailed contractual terms against the requirements of IFRS 15. The key judgements include assessment of whether revenue should be recognised over time or at a point in time, and whether the performance obligations under the contract have been met at the balance sheet date, to best reflect the transfer of services through the life of each contract.

Estimates

The Directors have not identified any key estimates that are considered to have a significant risk of a material adjustment within the next financial year.

Property, plant and equipment

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years
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Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Leases

The Company leases office premises in various jurisdictions. Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed. Leases may contain a break clause or options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied, are greater than 12 months. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and are excluded from the recognition of the lease under IFRS 16.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Measurement of lease liabilities

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate ("IBR"), unless the interest rate implicit to the lease is available for use.

Lease payments to be made subsequent to optional termination options have been included within the lease liability measurement, where it is reasonably certain that such options will be exercised.

Lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be easily determined, the IBR is applied, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions. In determining the IBR, the Company has made adjustments for relevant factors such as lease term, lease value, country and asset-specific considerations.

The Company accounts for lease payments by allocating them to a finance cost element and against the lease liability. The finance cost is charged to profit or loss over the lease period.

When the Company revises its estimate of the term of any lease (for example, if a significant change in circumstances within the Company's control indicates a reassessment is appropriate), the Company adjusts the carrying amount of the lease liability to reflect the payments to make over the revised term, which are discounted using a revised discount rate. In such cases, an equivalent adjustment is made to the carrying value of the right-of-use asset, with the revised carrying amount being amortised over the remaining (revised) lease term. If the carrying amount of the right-of-use asset is adjusted to zero, any further reduction is recognised in profit or loss.

The Company has no material exposure to variable lease payments that qualify for accounting treatment under IFRS 16.

Measurement of right-of-use assets

The right-of-use asset for lease agreements is measured on initial recognition as the amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs. Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as "short-term leases", and those with a low value as "low-value leases". Consequently, no lease liability or right-of-use asset is calculated thereon. These leases are expensed in the profit & loss account. The Company also applies the practical expedient to combine leases with similar characteristics to a portfolio of leases for the purpose of applying the requirements of IFRS 16.

See note 10 for further details on the Company's leasing arrangements.

Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Financial Instruments (continued)

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit & loss at the reclassification date.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit & loss.

Trade and other receivables

Trade and other receivables are recognised initially at fair value, equal to the transaction price and subsequently measured at amortised cost, less provision for impairment. The trade receivables balance recorded on the Company's balance sheet are held until realised in cash.

The trade receivables balances recorded in the Company's balance sheet comprises a relatively small number of high-value balances which are held until realised in cash.

The Company provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer-specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include: historical collection experience for each customer; the assessed liquidity of key customers within the receivables balance; and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9. Bank overdrafts that are repayable on demand and are included as a component of cash and cash equivalents.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2024, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

Trade and other payables

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Financial Instruments (continued)

External borrowings

All loans and borrowings are initially recognised at fair value, equal to the value of amounts received. Borrowings are subsequently stated at amortised cost; any difference between the proceeds and the redemption value is recognised in the profit & loss account over the period of the borrowings using the effective interest method.

Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or CGU is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the CGU); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in the profit & loss account. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amounts of other assets in the CGU (or group of CGUs) on a pro-rata basis.

An impairment loss relating to non-financial assets, excluding goodwill, is reversed if, and only if, the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior years are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Right-of-use assets are accounted for in line with the leases section above.

Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the profit & loss account as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the balance sheet.

Revenue recognition

Recognition of revenue and client billing

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income represents the Company's personnel, subcontractor and related expertise and services sold to clients. Recharged expenses are the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company.

The Company delivers services that have no alternative use to the Company (advice to clients, reports, etc.) as the services are specifically tailored to clients' projects and scope of work. The significant majority of the Company's revenue is contracted on a time and materials basis, where the performance obligation is to provide consultancy resources at agreed day rates. For such contracts, revenue is recognised over time, as consultant days worked are delivered. Modifications or extensions to such projects are recognised as services are delivered. Significant extensions, where the scope or price of the contract increases, are treated as separate contracts. Contracts accounted for on a time and materials basis are billed incrementally, typically monthly, for incurred time and materials.

Revenue recognition for fixed-fee projects is based on the satisfaction of performance obligations in line with contractual project milestones, depending on the nature of the performance obligations for the project. Material scope changes are managed via a new agreement with the client. Fixed-fee projects are typically billed in accordance with the nature of the performance obligations when a right to payment crystallises.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Revenue recognition (continued)

For most fixed-fee milestone projects, revenue is recognised at a point in time upon delivery of each performance obligation and these projects are typically billed as contractual milestones are delivered and the right to payment exists. Contractual milestones are only treated as separate performance obligations by the Company when they are distinct from the other elements in the contract and could provide a benefit to the customer without further work being completed. In limited circumstances, revenue from fixed fee milestone projects is recognised over time where the Company has an enforceable right to payment for performance completed to date, before the contractual milestone has been fully delivered.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

Recognition of contract receivables

Activity performance recognised as revenue in excess of invoices raised results in the recognition of a contract receivable, which is included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to be trade receivables.

Recognition of contract liabilities

Where amounts have been invoiced in excess of work performed and revenue recognised, the excess is a contract liability and is included within deferred income, valued in line with the nature of the project and related performance obligations as described above and recognised in future periods.

Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs, that are directly attributable to the delivery of services and supporting growth.

Rechargeable expenses, including travel and subsistence directly recharged to the Company's clients as part of revenue generation, are presented within the "rechargeable expenses" line within the Company's profit & loss account.

Capitalised contract fulfilment costs

Costs directly attributable to the fulfilment of unsatisfied or partially unsatisfied performance obligations on customer contracts are recognised as an asset where these costs generate or enhance resources of the Company and the costs are expected to be recovered. These costs principally relate to partially completed milestones on fixed-fee contracts. These costs are recognised in the profit & loss account at the point of revenue recognition.

Administration expenses

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit & loss account.

Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

Dividends payable

Dividends payable are recognised in the statement of changes in equity on the date the entity's obligation to pay the dividend is established.

Taxation

Current and deferred tax is recognised in the profit & loss account.

Current tax is the expected tax payable or receivable on the taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Taxation (continued)

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2024. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards, amendments and interpretations which are now effective:

- IFRS 17 Insurance Contracts, effective from 1 January 2023;
- Amendments to IFRS 17, effective from 1 January 2023;
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2), effective from 1 January 2023;
- Definition of Accounting Estimates (Amendments to IAS 8), effective from 1 January 2023;
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12), effective from 1 January 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – Application of the exception and disclosure of that fact, effective from 23 May 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – other disclosure requirements, effective from 1 January 2023; and
- International Tax Reform — Pillar Two Model Rules (Amendments to the 'IFRS for SMEs' Standard), effective from 29 September 2023 (not yet endorsed by the UK).

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2024.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Revenue

	FY 24 £000	FY 23 £000
Rendering of services	3,847	4,077
Rechargeable expenses	85	22
Revenue	3,932	4,099
	FY 24 £000	FY 23 £000
<i>By activity</i>		
Management consulting	3,932	4,099

Notes to the financial statements (continued)

3 Auditor's remuneration

	FY 24 £000	FY 23 £000
Audit of these financial statements	-	73

As disclosed on p. 119 of the Group's Annual Report & Accounts 2024, the Company has taken advantage of the parent company guarantee exemption to prepare unaudited accounts in accordance with s479A of the Companies Act 2006. The guarantee is provided by the ultimate controlling party as at 31 March 2024, Alpha Financial Markets Consulting plc. Therefore, there is no audit fee in relation to the FY 24 accounts.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees FY 24	FY 23
Administrative	2	3
Sales	16	14
Average number of employees in the year	18	17

The aggregate payroll costs of these persons were as follows:

	FY 24 £000	FY 23 £000
Wages, salaries and short term benefits	1,571	1,825
Social security costs	178	189
Contributions to defined contribution plans	67	57
Total staff costs for the year	1,816	2,071

5 Directors' remuneration

	FY 24 £000	FY 23 £000
Directors' remuneration	-	307
Gain on share option exercises	-	194
Company contributions to money purchase pension plan	-	8
Benefits are accruing to the following number of Directors under:	Number of Directors FY 24	FY 23
Money purchase schemes (retirement benefits)	-	1
Long term share incentive plan	-	1

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services provided to the Company in the current year was negligible and therefore their remuneration has been disclosed in the accounts of other Group entities. For FY 23, a proportion of one Director's remuneration was disclosed in the Company's accounts based on the level of qualifying services provided to the Company in that year. In FY 23, the highest paid director received remuneration of £177,000 and the value of the company's contributions paid to defined contribution pension scheme in respect of the highest paid director amounted to £4,000. In FY 23, the highest paid Director exercised some of their share options held in the ultimate parent company, Alpha Financial Markets Consulting plc.

Notes to the financial statements (continued)

6 Finance expense

	FY 24 £000	FY 23 £000
Finance expense	-	3
Total finance expenses	-	3

7 Taxation

	FY 24		FY 23	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Group relief payable		149		130
Adjustments in respect of prior periods		2		10
Total current tax		151		140
<i>Deferred tax</i>				
Origination and reversal of timing differences	2		-	
Adjustments in respect of prior periods	(2)		-	
Total deferred tax		-		-
Total taxation expense for the year		151		140

The Finance Act 2022 increased the main rate of corporation tax in the UK to 25% from 1 April 2023. The deferred tax balances reflect this substantively enacted rate in the current and prior years.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 24 £000	FY 23 £000
Profit before taxation	588	683
Tax using the UK corporation tax rate of 25% (FY 23: 19%)	147	130
Fixed asset differences	2	(1)
Expenses not deductible for tax purposes	2	1
Adjustments in respect of prior periods	-	10
Group relief received	(149)	(130)
Payment for group relief	149	130
Total tax expense for the year	151	140

Notes to the financial statements (continued)

8 Property, plant and equipment

	Computer equipment £000
Cost	
Balance at 1 April 2023	38
Acquisitions	6
Disposals	-
Balance at 31 March 2024	44
Depreciation and impairment	
Balance at 1 April 2023	(20)
Depreciation charge for the year	(11)
Disposals	-
Balance at 31 March 2024	(31)
Net book value	
Balance at 31 March 2024	13
Balance at 1 April 2023	18

9 Fixed asset investments

	Shares in Group undertakings £000
At 31 March 2024 & 31 March 2023	-

The undertakings in which the Company had an interest at the year end of more than 20% are as follows:

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2024	Class and percentage of shares held - 31 March 2023
Axxsys Financial Software Consulting Canada Limited	Canada	1	Consultancy services	100% ordinary	100% ordinary
Axxsys Consulting USA Inc	USA	2	Consultancy services	100% ordinary	100% ordinary
Axxsys Danmark ApS	Denmark	3	Consultancy services	100% ordinary	100% ordinary

Registered addresses:

- 1800-13401 108th Avenue, Surrey, British Columbia V3T 5T3, Canada
- Incorp Services, Inc., 919 North Market Street, Suite 950, Wilmington, DE 19801
- Flaesketorvet 68, DK-1711 Copenhagen, Denmark

Notes to the financial statements (continued)

10 Leases

Right-of-use assets

	Offices £000	Total £000
Net book value		
As at 1 April 2022	121	121
Additions	-	-
Depreciation charge	(104)	(104)
Disposals and other movements	-	-
As at 31 March 2023	17	17
Additions	-	-
Depreciation charge	(17)	(17)
Disposals and other movements	-	-
As at 31 March 2024	-	-

Amounts recognised in the profit & loss account

	FY 24 £000	FY 23 £000
Depreciation of right-of-use asset	(17)	(104)
Short-term lease expense	(99)	(24)
Included in administration expenses	(116)	(128)
Interest expense on lease liabilities	-	(3)
Included in finance expenses	-	(3)

Total rental payments made in the year on all lease tenors amounted to £0.1m (FY 23: £0.1m).

The Company has given consideration to any extension options and early termination options with reasonable certainty at the date of signing these financial statements, and these have been reflected within the lease liability where appropriate.

The Company had no income associated with sub-leasing arrangements, or gains/losses associated with sale-and-leaseback transactions in the year ended 31 March 2024.

Notes to the financial statements (continued)

11 Trade and other receivables

	FY 24 £000	FY 23 £000
Trade receivables	324	55
Amounts owed by Group undertakings	1,550	2,888
Other receivables	1	20
Prepayments and accrued income	11	68
Total amounts due within one year	1,886	3,031

Trade receivables are stated after an immaterial provision for expected credit losses in both the current and prior years.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings were immaterial in both the current and prior year.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. Otherwise the amounts are classified as non-current. As at 31 March 2024, amounts owed by Group undertakings of £1,348,000 (FY23: £nil) are presented separately as non-current assets on the balance sheet.

12 Cash and cash equivalents

	FY 24 £000	FY 23 £000
Cash at bank	329	923
Cash and cash equivalents	329	923

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

Notes to the financial statements (continued)

13 Trade and other payables

	FY 24 £000	FY 23 £000
Trade payables	59	107
Amounts owed to Group undertakings	715	1,258
Taxation and social security	130	108
Accruals and deferred income	191	454
Total amounts owed within one year	1,095	1,927

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date all of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income relates to contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on short-term timing differences between performance obligations in some milestone or fixed-fee contracts and their respective contracted payment schedules. The contract liability movement in the year represents these timing differences across contracts at each year end. As at 31 March 2024 there is an immaterial level of deferred income held on the Company's balance sheet, and movements in contract liabilities in the year were also immaterial. All current deferred income is expected to be recognised through revenue within one year.

14 Capital and reserves

Share capital

	FY 24 £	FY 23 £
<i>Allotted, called up and fully paid</i>		
427,000 ordinary shares of £0.0001 each	43	43
Balance at the end of the year	43	43

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

During the year, no ordinary dividend payment was made to the Company's sole shareholder, Alpha Financial Markets Consulting Group Limited (FY 23: £1,000,000). The Directors have not recommended the payment of a final dividend (FY 23: £nil).

15 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

16 Ultimate parent company

As at 31 March 2024, the ultimate parent company and controlling party was Alpha Financial Markets Consulting plc, a company incorporated in England and Wales.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, United Kingdom, or the website investors.alphafmc.com.

Notes to the financial statements (continued)

17 Events after the reporting period

Change in control of the Company following the acquisition of the Group by Actium Bidco (UK) Limited

On 19 August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Following this acquisition, the shares of Alpha Financial Markets Consulting plc were de-listed from AIM on 20 August 2024 and the company was re-registered as a private limited company under the Companies Act 2006. Actium Bidco (UK) Limited is a wholly owned indirect subsidiary of Actium Topco (UK) Limited, which is owned by certain funds managed by Bridgepoint Advisers Limited.

Cease of trading after the reporting date

Following the end of the financial year, in June 2024, trading activity in the Company ceased, with the operations transferred to other UK Group entities. This transition reflects the evolution and consolidation of the Group's market-facing propositions and is a commercial decision taken regarding the Group's strategy. As a result, these financial statements have not been prepared on a going concern basis. For further details on the implications of this, please refer to note 1.